

PRE-READING: KEY LITERATURE & CONCEPTS

MODULE 01 — TRADE CORRIDORS, LOGISTICS & ECONOMIC CONNECTIVITY

Infrastructure is not neutral. Ports, railways, pipelines, and digital cables don't just move goods — they encode economic relationships, create dependencies, and shift the balance of power between states. The country that builds the corridor often sets the terms for those who use it.

Key texts & concepts:

PARAG KHANNA — *Connectography: Mapping the Future of Global Civilization* (2016) Khanna argues that connectivity infrastructure — not borders — is becoming the primary organising principle of geopolitics. Supply chains, energy networks, and digital grids are rewriting the map. Worth reading as a provocation: his vision is optimistic, and the critics who push back are equally instructive.

WORLD BANK — *Logistics Performance Index* (published biennially) The closest thing to a global benchmark for trade infrastructure. Measures customs efficiency, infrastructure quality, tracking capacity, and timeliness across 160+ countries. Essential context for any discussion of which corridors are competitive and which are aspirational.

THE EU'S GLOBAL GATEWAY INITIATIVE (2021–ongoing) Europe's answer to China's Belt and Road: up to €300 billion in infrastructure investment targeting digital, climate, energy, transport, health, and education sectors globally. Read the Commission's framing alongside critical analysis — the gap between commitment and disbursement is a live debate.

BELT AND ROAD INITIATIVE — critical literature Deborah Brautigam's work on Chinese infrastructure finance in Africa is the most rigorous counterweight to both the boosterish and the alarmist accounts. Her research (*The Dragon's Gift*, 2009; and ongoing at the China-Africa Research Initiative) tests the "debt trap" narrative against the evidence.

Concepts to know: — Chokepoints: straits, canals, and nodes where control translates directly into leverage (Suez, Hormuz, Malacca, the Bosphorus) — Multimodal logistics: how goods actually move — sea, rail, road, air — and where the inefficiencies accumulate — Trade facilitation vs. protectionism: the WTO Trade Facilitation Agreement (2017) as a reference point for what reform looks like

MODULE 02 — GLOBAL FINANCIAL CENTERS & THE NEW GEOGRAPHY OF CAPITAL

Capital does not flow freely — it flows through institutions, currencies, legal systems, and regulatory frameworks that are themselves the product of political choices. Financial centres are not just convenient locations; they are nodes of structural power.

Key texts & concepts:

SUSAN STRANGE — States and Markets (1988) The foundational text for understanding financial power. Strange introduced the concept of structural power — the ability to set the rules within which others must operate — and showed how the US exercised it through the dollar system, without needing to threaten or persuade. Essential for understanding Frankfurt's ambitions relative to London post-Brexit and New York's continued dominance.

THE GLOBAL FINANCIAL CENTRES INDEX (Z/Yen & China Development Institute) Published twice yearly, this ranks financial centres by competitiveness across business environment, human capital, infrastructure, financial sector development, and reputation. Frankfurt has been climbing. The methodology is worth scrutinising alongside the rankings.

BARRY EICHENGREEN — Exorbitant Privilege: The Rise and Fall of the Dollar (2011) The most accessible account of how the dollar became the world's reserve currency, what that status is worth to the United States, and under what conditions it might erode. Relevant as Gulf states, China, and others experiment with non-dollar trade settlement.

THE ECB & THE INTERNATIONALISATION OF THE EURO The European Central Bank publishes annual reports on the euro's international role. The gap between the euro's share of global trade invoicing and its share of global reserves is a telling indicator of the limits of European financial power.

Concepts to know: — Reserve currency dynamics: network effects, trust, and liquidity as barriers to displacement — Regulatory arbitrage: how firms and capital move between jurisdictions to minimise compliance costs — and why that shapes where financial centres win or lose — The "Brussels Effect": how EU financial regulation (MiFID II, EMIR, SFDR) becomes a de facto global standard because compliance once is cheaper than compliance twice

MODULE 03 — AI, AUTOMATION & ECONOMIC COMPETITIVENESS

Artificial intelligence is not primarily a technology story — it is a productivity, labour market, and geopolitical story. Countries that can absorb and deploy AI effectively will compound advantages in manufacturing, services, and military capacity. Those that cannot risk structural divergence.

Key texts & concepts:

DARON ACEMOGLU & SIMON JOHNSON — Power and Progress (2023) A serious challenge to techno-optimism. Acemoglu and Johnson argue that the benefits of automation have historically concentrated among capital owners and a narrow slice of skilled workers, while broad productivity gains — the kind that raise living standards — are not automatic. They call for policy choices, not technological faith. The most important counter-argument to read before accepting that AI will be universally beneficial.

ERIK BRYNJOLFSSON & ANDREW McAfee — The Second Machine Age (2014) The optimistic case: digital technologies are driving a new era of abundance, and the challenge is distribution rather than growth. Brynjolfsson's ongoing work on the "J-curve" of AI adoption — productivity dips before it rises — is useful for understanding why the gains from current AI may be front-loaded with disruption.

THE EU AI ACT (2024) The world's first comprehensive AI regulatory framework, now in force. Establishes a risk-tiered approach: prohibited AI (social scoring, real-time biometric surveillance), high-risk AI (hiring, credit, border control), and general-purpose AI models with transparency requirements. Worth reading the Commission's own summary alongside commentary on what the enforcement architecture actually looks like.

OECD — AI Policy Observatory (oecd.ai) The most comprehensive tracker of national AI strategies, regulatory frameworks, and comparative investment data across member and partner countries. A useful empirical anchor for any argument about competitiveness.

Concepts to know: — General-purpose technology (GPT) transitions: how transformative technologies (steam, electricity, computing) historically diffuse through economies — slowly, unevenly, then all at once — Task vs. job displacement: the distinction between automating specific tasks within a job and eliminating the job entirely — the evidence currently favours the former — Compute concentration: the degree to which AI capability depends on a small number of chip manufacturers (primarily TSMC and NVIDIA) and cloud infrastructure providers

Startup ecosystems are not spontaneous. They are the product of specific conditions — capital availability, talent density, regulatory tolerance for failure, exit markets, and cultural attitudes to risk. The gap between Silicon Valley and everywhere else is not accidental; it is structural, and closing it requires deliberate policy as well as private capital.

Key texts & concepts:

MARIANA MAZZUCATO — The Entrepreneurial State (2013) The single most influential challenge to the narrative that innovation is purely private. Mazzucato shows that the foundational technologies behind the iPhone — the internet, GPS, touchscreen, Siri — were all developed with public funding. The state takes the risks; private firms capture the returns. Her argument shapes the case for public innovation investment and "mission-oriented" industrial policy.

STEVE BLANK & BOB DORF — The Startup Owner's Manual (2012) Less theoretical, more operational: the customer development methodology that underlies most accelerator programmes globally. Useful for understanding how practitioners think about early-stage company building, distinct from the academic literature on innovation systems.

STARTUP GENOME — Global Startup Ecosystem Report (annual) The leading benchmarking report for startup ecosystems worldwide. Tracks ecosystem value, funding, talent, market reach, and knowledge. Frankfurt, Berlin, and Munich compete within the German and wider European context — this report shows where the gaps are and what drives the top-ranked systems.

THE EUROPEAN VENTURE CAPITAL MARKET — EIF Working Papers The European Investment Fund publishes detailed research on VC market dynamics across Europe, including fund sizes, investment stages, sector concentration, and the persistent gap with US and, increasingly, Asian VC. Essential context for understanding why European startups still disproportionately exit to US acquirers.

Concepts to know: — The "valley of death": the gap between early-stage public research funding and the point at which private VC becomes interested — where most promising ideas die — Unicorn density: a proxy for ecosystem maturity, though a contested one — Secondary markets and liquidity: why exit options (IPO, M&A) shape the whole upstream capital allocation

MODULE 05 — ECONOMIC STATECRAFT & STRATEGIC INFRASTRUCTURE

Infrastructure has always been strategic. What is new is the explicit use of economic tools — investment screening, export controls, sanctions, subsidy regimes — as instruments of foreign

policy. Economic statecraft is the art of wielding these tools without triggering retaliation that erodes the benefits.

Key texts & concepts:

HENRY FARRELL & ABRAHAM NEWMAN — *Underground Empire: How America Weaponized the World Economy* (2023) The most current and accessible account of how the US dollar system, financial clearing (SWIFT), and semiconductor supply chains have been converted into coercive instruments. The story of how SWIFT exclusion became a sanctions tool, and how export controls on advanced chips are reshaping the US-China technology competition. Essential reading for this module.

ROBERT BLACKWILL & JENNIFER HARRIS — *War by Other Means: Geoeconomics and Statecraft* (2016) Coined the term "geoeconomics" for mainstream policy use. Argues that the US systematically underutilises economic instruments relative to military ones, and that rivals — China especially — have no such inhibition. A useful framing even if some of the specific claims have dated.

THE CHIPS AND SCIENCE ACT (US, 2022) & THE EU CHIPS ACT (2023) Two parallel attempts to reshore semiconductor manufacturing capacity. Comparing their structure, incentive design, and early implementation is itself a case study in how different political economies approach the same strategic problem. The OECD and Brookings Institution have published useful comparative analyses.

FOREIGN DIRECT INVESTMENT SCREENING — EU Framework Regulation (2020) Europe's first coordinated mechanism for screening inbound investment on national security grounds. Understanding which sectors are covered, how member states implement it inconsistently, and what gaps remain is important context for any discussion of strategic infrastructure protection.

Concepts to know: — Friendshoring / nearshoring / ally-shoring: the vocabulary of supply chain reorientation driven by geopolitical risk rather than cost alone — Critical infrastructure designation: how governments classify assets (energy, water, digital, financial) and what regulatory obligations follow — Extraterritoriality: how US (and increasingly EU) law reaches beyond national borders through dollar clearing, data standards, and technology controls

MODULE 06 — NORTH-SOUTH COOPERATION & REGIONAL INTEGRATION

The architecture of North-South economic relations — aid, trade preferences, debt, conditionality — was built in a different era and is under serious strain. New actors (China, Gulf

states, regional blocs) have changed the terms. The question is no longer whether the old model is sufficient, but what replaces it and on whose terms.

Key texts & concepts:

DANI RODRIK — The Globalization Paradox (2011) Rodrik's "trilemma" — you cannot simultaneously have deep economic integration, national sovereignty, and democratic politics; you can only have two of the three — is the most useful intellectual frame for understanding why North-South integration agreements so frequently disappoint. His work on "industrial policy" has also been rehabilitated in the current era and is worth reading alongside the newer literature.

JOSEPH STIGLITZ — Globalization and Its Discontents (2002) A former World Bank chief economist's critique of how the Washington Consensus — the IMF/World Bank policy package of liberalisation, privatisation, and fiscal austerity — operated in practice across developing economies. Dated in some specifics but foundational for understanding why "conditionality" remains politically toxic in the Global South.

THE AFRICAN CONTINENTAL FREE TRADE AREA (AfCFTA) Launched in 2021, AfCFTA is the world's largest free trade area by number of participating countries. Its ambition — creating a single continental market of 1.4 billion people — is significant; implementation remains uneven. The African Development Bank and UNCTAD publish regular assessments of progress and obstacles.

EU-AU SUMMIT FRAMEWORK & THE GLOBAL GATEWAY IN AFRICA The EU's 2022 summit with the African Union produced €150 billion in Global Gateway commitments for Africa. The credibility of these commitments — how they compare to actual disbursements, and how they relate to Chinese infrastructure finance — is a live and contested empirical question.

UNCTAD — Trade and Development Report (annual) The UN Conference on Trade and Development is the most consistent institutional voice for developing country interests in global trade and finance. Its annual report provides data and framing that deliberately contrasts with the IMF/World Bank consensus — useful for holding multiple perspectives.

Concepts to know: — Special and Differential Treatment (SDT): WTO provisions that give developing countries more flexibility and longer timelines — and why they are increasingly contested — Debt sustainability: the IMF/World Bank framework for assessing when a country's debt burden becomes unsustainable, and the political economy of restructuring — Regional value chains: how production fragmentation within a region (as in ASEAN or the emerging AfCFTA space) creates economic integration from the bottom up

CROSS-CUTTING THEMES

Several ideas cut across all six modules. You will encounter them repeatedly.

THE BRUSSELS EFFECT (Anu Bradford, 2020) How the EU's regulatory standards — on data, competition, sustainability, AI — become global defaults, not through treaties or negotiations, but because multinational firms find it cheapest to comply once with the most demanding standard. Brussels exports rules without needing to export force. Bradford's book is the most thorough treatment; her shorter Foreign Affairs article is a good starting point.

WEAPONISED INTERDEPENDENCE (Farrell & Newman, 2019 — Foreign Affairs) Globalisation created mutual dependencies, but those dependencies are asymmetric. States that sit at the centre of networks — controlling chokepoints in finance, technology, or trade — can weaponise access. This concept runs through modules 1, 2, and 5 in particular.

THE MIDDLE INCOME TRAP Why do so many countries that industrialise successfully get stuck at middle-income levels and fail to transition to high-income status? The literature (World Bank, Eichengreen) points to the difficulty of moving from cost-competitive manufacturing to innovation-led growth — a challenge directly relevant to modules 3 and 6.

FRANKFURT AS A CASE Throughout the forum, Frankfurt itself is a useful reference point. As the home of the ECB, Deutsche Börse, and a major logistics hub (Frankfurt Airport is Europe's third busiest), it sits at the intersection of the financial, infrastructure, and regulatory themes the forum examines. When in doubt, ask what Frankfurt's position tells you about the module's central question.

QUICK REFERENCE: KEY THINKERS BY MODULE

Module 01 (Trade & Logistics) Khanna, Brautigam, WTO/World Bank data

Module 02 (Financial Centers) Strange, Eichengreen, Bradford

Module 03 (AI & Automation) Acemoglu & Johnson, Brynjolfsson & McAfee, EU AI Act

Module 04 (VC & Innovation) Mazzucato, Startup Genome, EIF research

Module 05 (Economic Statecraft) Farrell & Newman, Blackwill & Harris, CHIPS Acts

Module 06 (North-South) Rodrik, Stiglitz, AfCFTA / UNCTAD data

